

Principle, is due to follow wave V, investor mass psychology should reach manic proportions, with elements of 1929, 1968 and 1973 all operating together and, at the end, to an even greater extreme.

This vision was expanded in July and August 1983:

As for the long term, even if you can prove that some sectors of Wall Street are very optimistic, you may have to wait until *half the population* is euphoric about stocks before the *final* top occurs. Remember, this is just the setup phase. The average guy probably won't be joining the party until the Dow clears 2000. The market's atmosphere by then will undoubtedly become out-and-out euphoric. *Then* you can start watching the public's activity as if it were one huge sentiment indicator. When the stock market makes the news reports every single day (as gold did starting about two months before the top, remember?), when your neighbors find out you're "in the business" and start telling you about *their* latest speculations, when stories of stock market riches hit the pages of the general newspapers, when the best-seller list includes "How to Make Millions in Stocks," when Walden's and Dalton start stocking *Elliott Wave Principle*, when almost no one is willing to discuss financial calamity or nuclear war, when miniskirts return and men dress with flash and flair, and when your friends stay home from work to monitor the Quotron machine (since it's more lucrative than working), then you know we'll be close. At the peak of the fifth wave, the spectacle could rival Tulip Mania and the South Sea Bubble.

The Elliott Wave Theorist added in December 1985, "What's important now is that we remain on guard to recognize the polar opposite emotions of good feelings, confidence and complacency at the top of Cycle wave V. When the majority is bullish and happy, we'll be close to the end." It has been a long road to reach that point, but reach it we have.

Public Optimism in the Past Four Years

In 1991, NASDAQ volume exceeded NYSE volume for the first time ever. That year, the ten largest brokerage firms raised their recommended average investment in stocks to 65% (and only 5% cash), the highest percentage since the figures began being compiled in January 1987. Bullish sentiment became so extreme in 1992 that to attract and keep investors, the best known short selling firm